LedgerLoop - Invoice factoring for small businesses

Executive Summary

LedgerLoop provides invoice-factoring services to small businesses. We advanced 6.4M USD last year with a 0.3 percent default rate and a 22 percent net return to investors.

Problem

Small businesses wait 60-90 days to be paid by clients, creating cash-flow gaps.

Market

US small business invoice factoring is a 3 billion USD annual market. Competitors include Bluevine and Fundbox; we differentiate with faster approvals.

Business Model

We charge 1.5-3.5 percent per 30 days on advanced invoices. Investors fund our pool and receive 22 percent annual returns paid monthly. New investor deposits are used to fund monthly payouts when invoice collections are delayed, which we consider a normal liquidity practice.

Financials & Funding Ask

Balance sheet shows 9.1M USD in receivables. An audit has not been done; receivables aging report is not provided. Investor payouts in the last 12 months were 1.4M USD while total interest and fees collected were 0.7M USD. Our investor funds are held in an operating account alongside company funds.

Team

CEO is a former banker (verified on LinkedIn). CFO is the CEO's spouse. Investor agreements are reviewed by an outside attorney.

Risks

Late payments by clients. Our reserve fund covers delays. Regulatory compliance is handled internally.